International Airlines Group

IAG.L - Equity Valuation & DCF Analysis

BUY

Target Price
€8,07/share

Market Price ***£3,94***
(€4,60)

Implied Upside ***+75%***

Methodology ***DCF & Multiples***

Structural pillars driving Investment Case:

Cost Restructuring

>€1,5B permanent annual savings **(2020-2022)**

Slot Monopoly

British Airways **50% Heathrow;** ***Iberia*** **dominates Madrid**

Premium Yield

45% British Airways revenue **from Business and First Class**

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Company Overview

International Airlines Group | LSE: IAG.L | IBEX 35

ONE OF THE WORLDS' LARGEST AIRLINE GROUPS

- Comprises of British Airways, Iberia, Vueling, Aer Lingus, and LEVEL
- 575 aircraft flying to over 280 destinations worldwide
- Carries over 100M passengers annually
- Headquartered in Madrid and incorporated in Spain
- Listed on London Stock Exchange; constituent of IBEX 35

IAG'S INVESTMENT CASE

RESTRUCTURED: €1,5B+ in permanent annual cost savings locked in dominant slot positions at Heathrow (50%) and Madrid Barajas Airports

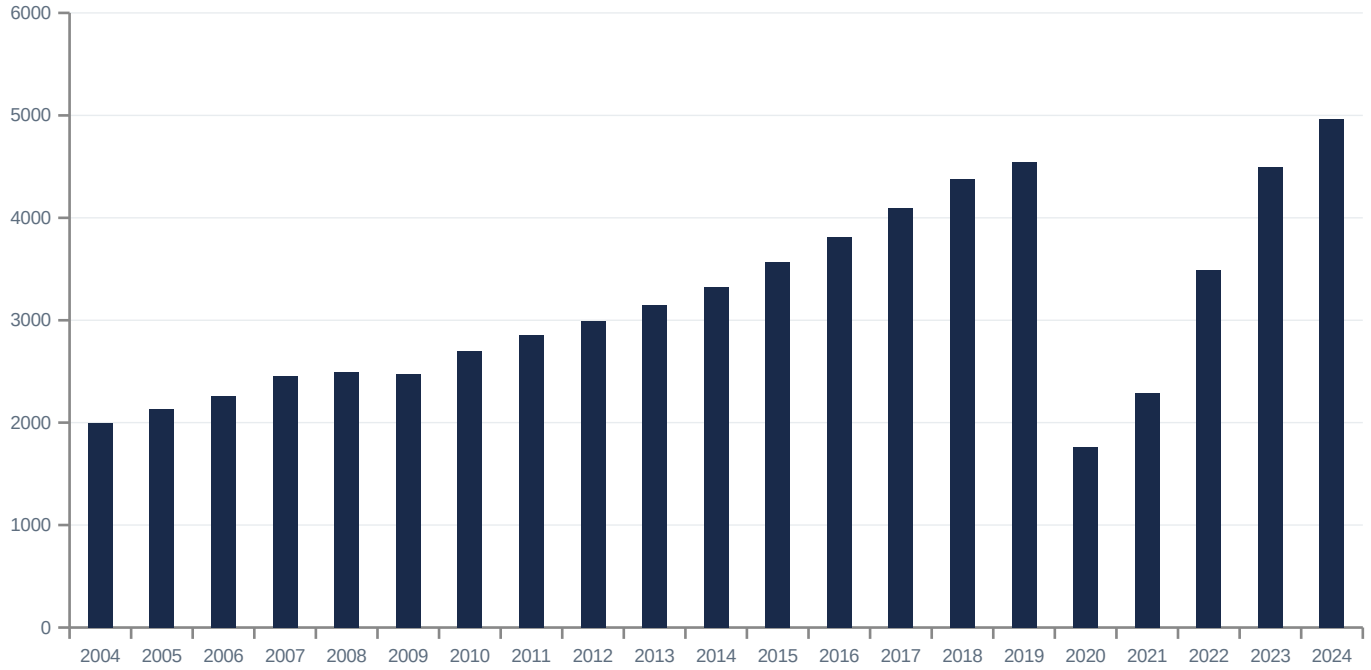
UNDERVALUED: record 13,3% EBUT Margin and IAG currently trades at 54% discount to its DCF intrinsic value

€32,1B Revenue (2024)	**13,3%** EBIT Margin (2024)
€3,28B NOPAT (2024)	**27,8%** RNOA (2024)
1,1× Net Debt/EBITDA	**4,727M** Shares Outstanding

Global Air Passenger Volumes Have Surpassed Pre-COVID Levels With Record Load Factors

International Airlines Group | LSE: IAG.L | IBEX 35

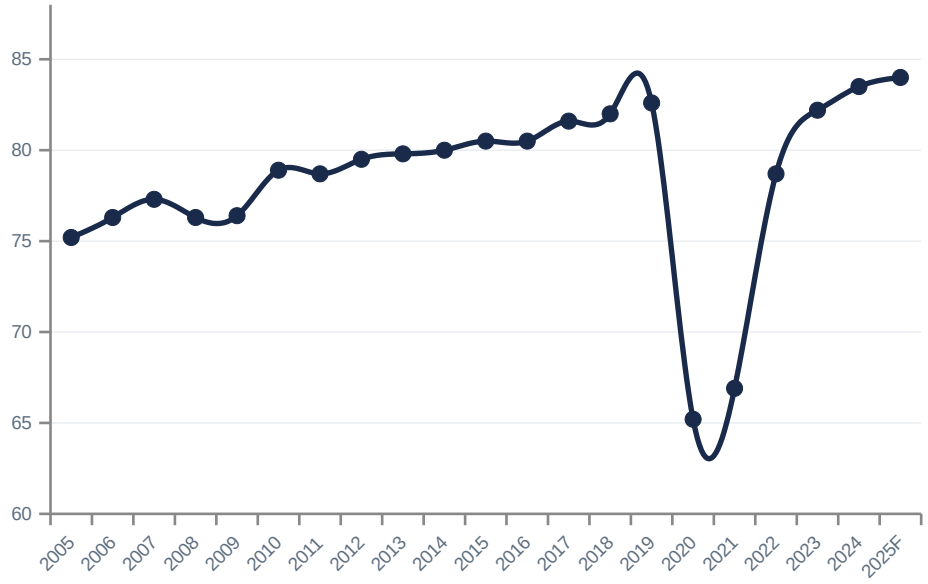
Global Scheduled Passengers Boarded (millions)



Source: IATA / Statista. 2023–2024 are estimates.

Passenger Load Factor (%)

Passenger Load Factor (PLF): the percentage of available seats that are filled with revenue passengers. Calculated as RPK ÷ ASK.



Source: IATA / Statista. 2025 is a forecast.

Passengers 2024

4,964M +10.4% YoY

Load Factor 2025F

84.0% +0.5pp YoY

vs 2019 peak

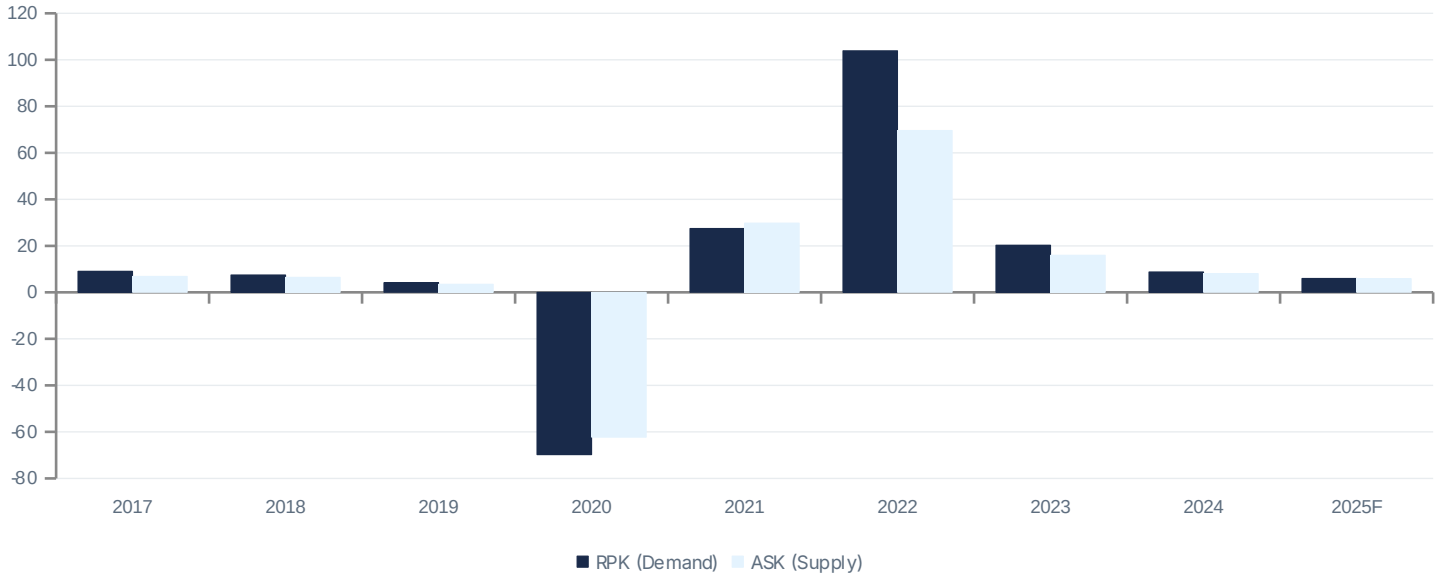
+9.3%

Demand Growth Has Consistently Outpaced or Matched Capacity Expansion

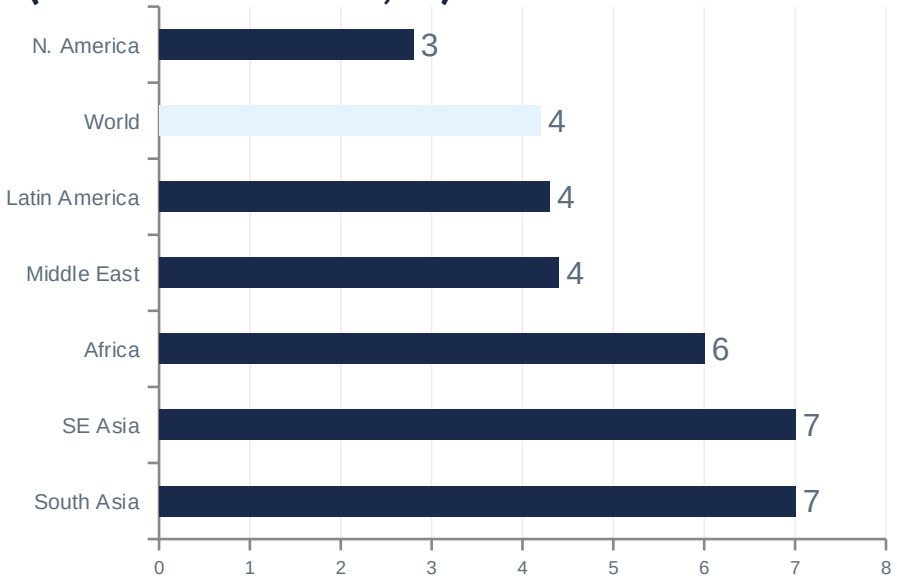
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RPK (Revenue Passenger Kilometres): number of revenue passengers × distance flown. Measures demand.
ASK (Available Seat Kilometres): number of seats available × distance flown. Measures supply/capacity.

Europe: Year-on-Year RPK vs ASK Growth (%)



Estimated Annual Avg. Passenger Growth (CAGR 2024–2044, %)



Source: IATA / Statista. European carrier data. 2025 is a forecast.

Historical Financial Performance

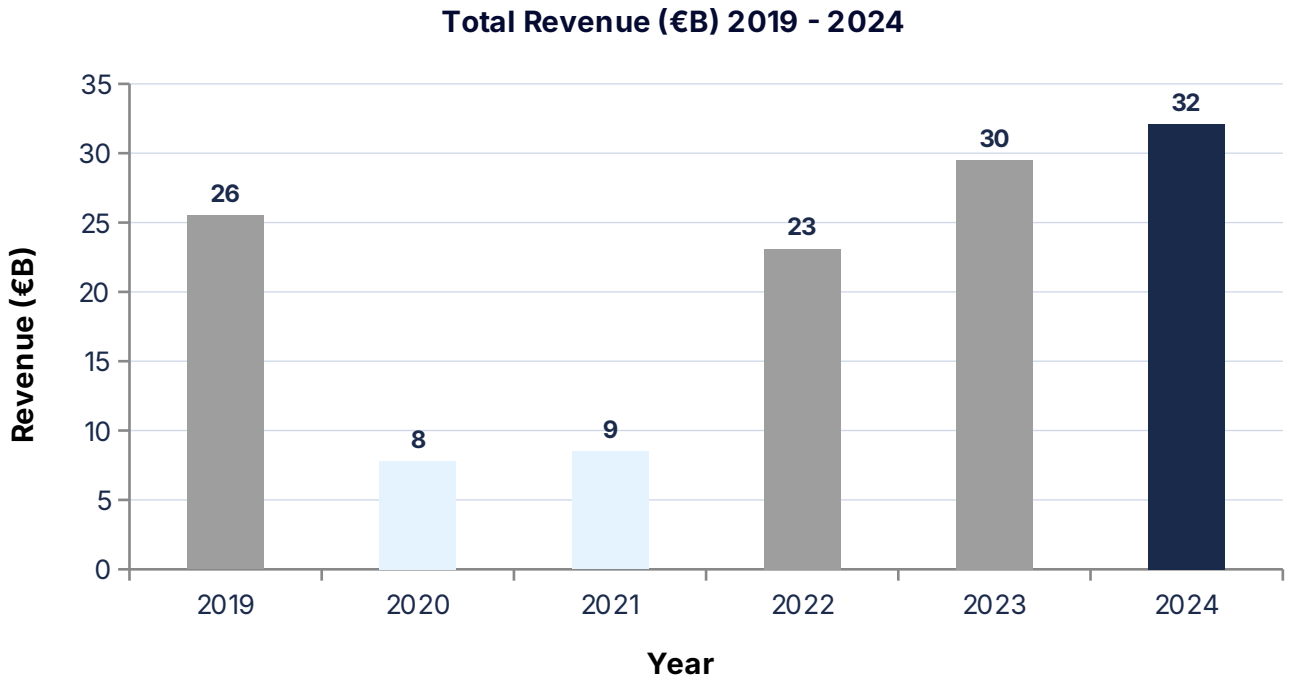
2019-2024 | COVID-19 Outliers (2020-2021) excluded from Trend Analysis

Key Metrics Snapshot

Year	Revenue	NOPAT	EBIT%
2019	€25,5B	€1,97B	10,2%
2022	€23,1B	€1,30B	5,4%
2023	€29,5B	€3,05B	11,9%
2024	€32,1B	€3,28B	13,3%

Recovery story: *Revenue +39% from 2022 to 2024 NOPAT margin strengthened to 10,2%- best in group history*

Data between 2020-2021 were structural outliers- revenue collapsed from €25,5B in 2019 to under €8B, thus they were excluded to avoid contaminating the forecast baseline



RNOA surged to 31,8% in 2024 (vs. 14,2% pre-COVID), driven by **asset-light restructuring** and **demand recovery-** long-run forecast normalises to 11,5%

Cost of Capital (WACC)

CAPM with Damodaran Methodology | Hamada Unlevering / Relevering | Eurozone Inputs

WACC

7,2%

Within analyst consensus range of **6,5-8,0%** for European legacy carriers

r_e = 9,7% | r_d = 4,1%

E/V = 55,6% | ***D/V*** = 44,4%

WACC Build-Up Components

Risk-Free Rate	Eurozone 10Y Bond (ECB)	**2,15%**
Equity Risk Premium		**5,78%**
Re-levered Beta	IAG 5Y raw β = 1,30 (conservative vs. peer re-levered 0,93)	**1,30×**
Cost of Equity (Ke)	Rf + β × ERP → CAPM	**9,67%**
Pre-Tax Cost of Debt	2024 interest €917M ÷ avg. borrowings €16,7B	**5,49%**
After-Tax Cost of Debt	Pre-tax K_d × (1 – 25% tax)	**4,11%**

Company	Levered β (5Y)	Equity (€M)	Debt (€M)	Tax Rate	D/E Ratio	Unlevered β	Notes
Lufthansa	1,23	9 730	14 223	29,9%	1,46x	0,608	German legacy carrier
Air France-KLM	1,08	2 650	14 663	25,8%	5,53x	0,212	French legacy carrier
easyJet	1,71	3 060	3 315	25,0%	1,08x	0,943	European LCC
Wizz Air	1,84	2 460	6 270	9,0%	2,55x	0,554	CEE ultra-LCC
Industry Average Unlevered β	—	—	—	—	—	***0,579***	*Average of all peers*

DCF Projections | 2025-2034

10Y Explicit Forecast | Revenue Growth 4,0% → 2,0% | NOPAT Margin Expansion to 11,55%

Key Projection Assumptions:

Revenue Growth

4,0% (2025) → 2,0% (2031+)
Aligned with ***IATA RPK*** forecasts & ***IAG ASK*** guidance

EBIT Margin

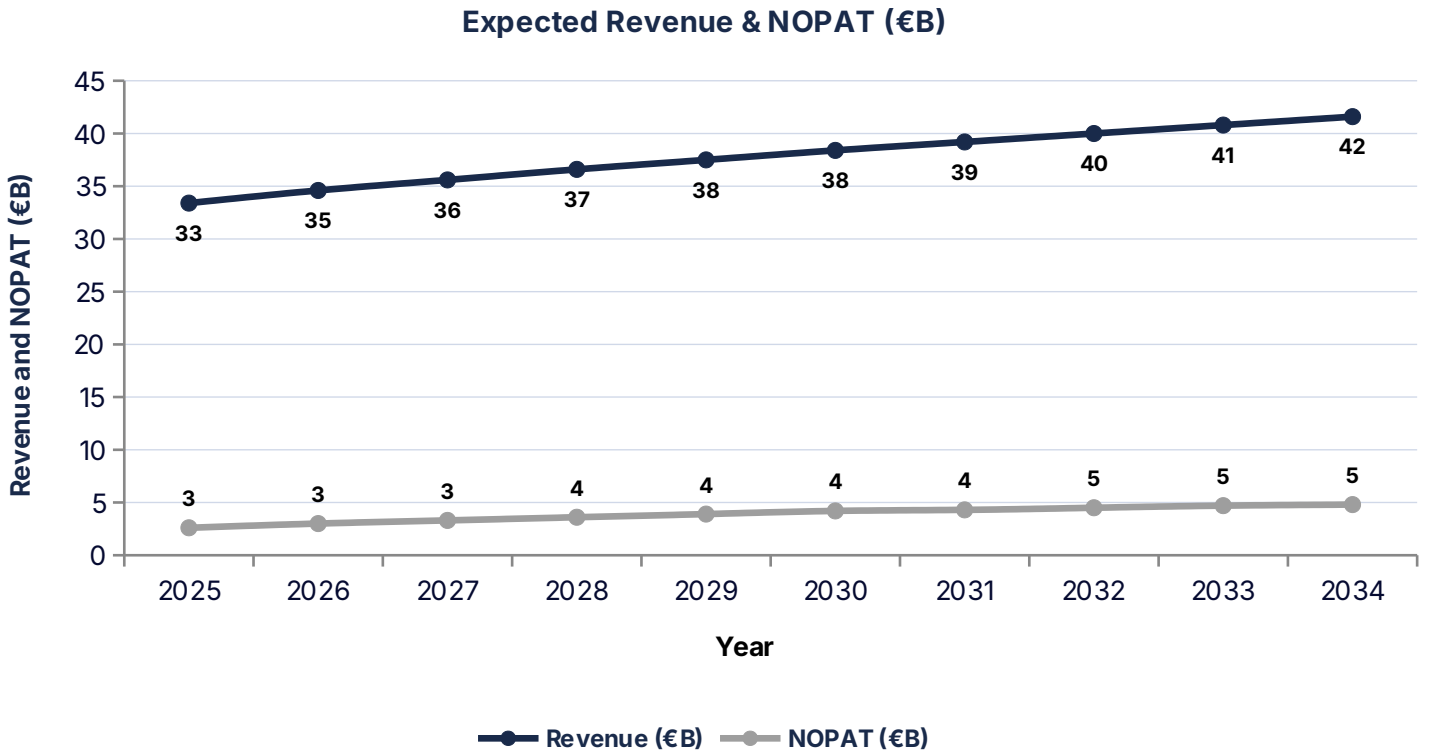
10,4% (2025) → 15,4% (2034)
Fleet efficiency & cost discipline

NOA Turnover

2,45× (2025) → 2,63× (2034)
Reflects €3B per year CAPEX on ***A320neo/A350***

Terminal Value

g = 2,0% and ***Margin*** = 10,0%
61% of ***Enterprise Value***



1Y FCFF = - €707M (planned capital deployment, not operational deterioration) and becomes strongly positive from 2026 onward, growing to €4,5B by 2034

DCF Valuation Output

Enterprise Value Bridge | Equity Value per Share

€21,6B

PV Explicit FCFFs (2025-2034)

€33,6B

PV Terminal Value (Gordon Growth)

61% of EV

€55,2B

Enterprise Value

−€7,5B

Less: Net Debt

€47,6B

Equity Value

€10,07

Value per Share

4,727M shares

Market Price: *£3,935 (€4,60)* → DCF Intrinsic Value: *€10,07* → Implied Upside: *+119%* | Conservative blended target: *€8,07 (+75%)*

Sensitivity Analysis

Value per Share (€) across *WACC* × *Terminal Growth Rate* | Base Case: ***WACC*** = 7,2%, ***g*** = 2.0%

WACC / g →	1,0%	1,5%	*2,0%*	2,5%	3,0%
5,5%	€14,94	€15,75	€16,79	€18,16	€20,07
6,0%	€12,95	€13,52	€14,24	€15,15	€16,36
6,5%	€11,33	€11,74	€12,24	€12,87	€13,66
7,0%	€9,98	€10,28	€10,64	€11,08	€11,62
7,2%	€9,57	€9,85	**€10,17**	€10,56	€11,03
7,5%	€8,85	€9,07	€9,33	€9,64	€10,01
8.0%	€7,89	€8,05	€8,24	€8,46	€8,72
8,5%	€7,06	€7,18	€7,32	€7,48	€7,66
9,0%	€6,35	€6,44	€6,54	€6,65	€6,78

Legend

- Base Case (€10,17)
- Strong upside (>€9)
- Above market (>€4,60)
- Below market (<€4,60)

***Key insight**: Market price (€4,60) is matched only under tail-risk scenarios of **WACC > 8,5%** combined with **g < 1.5%**. Stock appears undervalued across virtually all reasonable parameter combinations.*

Comparable Companies & Multiple Valuation

Peer Group: European Airline Operators | EV/EBITDA and P/E Primaries | 2024 Reported Financials

Company	EV/EBITDA	P/E	RNOA	Net Debt/EBITDA
Lufthansa	4,1x	7,2x	9,8%	2,1x
Air France-KLM	3,2x	5,4x	4,2%	3,8x
EasyJet	5,8x	10,2x	14,1%	1,4x
Wizz Air	6,1x	12,3x	8,9%	3,2x
Ryanair	7,9x	12,8x	22,4%	0,3x
Peer Avg.	**4,8x**	**8,5x**	**10,8%**	**2,1x**
IAG	**8,3x**	**8,0x**	**31,8%**	**1,1x**

Multiples-Implied Value

EV/EBITDA

4,8x Peer Avg. * €6,647M EBITDA

€5,15

P/E

8,5x * €2,732M PAT ÷ 4,727M shares

€4,91

DCF Base

WACC 7.2%, g 2,0%

€10,07

BLENDED (60% DCF/40% Mult.)

Conservative reconciliation

€8,07

Note: *Multiples Gap vs. DCF reflects (1) depressed peer group (Air France-KLM distressed, Wizz Air geopolitical risk); (2) IFRS 16 inflating IAG debt; (3) Multiples capturing current earnings, not long-run normalized cash generation.*

Investment Recommendations

International Airlines Group (IAG.L) | Valuation Date: March 2026

BUY

Target: €8,07 | Upside: +75% | Bull DCF: €10,08 (+119%) | Current price: €4.60

BEAR Case

€5,63

+22% upside

WACC 8,5%, g 1,5%

BASE Case

€8,07

+75% upside

60% DCF / 40% Multiples

BULL Case

€10,07

+119% upside

DCF only, WACC 7.2%, g 2%

Key Upside Drivers

- ***Air Europa* Synergies**: €200-250M per year
- **Premium cabin demand** resilience (*British Airway* 45% Revenue)
- **Heathrow expansion** means additional *British Airway* premium spots

Key Risks

- Global recession leading to **demand income-elasticity** is around **1.5x**
- Oil spike **> $110/bbl** may result in 3-4ppt margin compression
- **Higher WACC** (>8,5%) & geopolitical shock